Here, the Court finds Defendant's argument regarding the need for a special relationship to be involved in order to hold one liable for third-party criminality persuasive. "[I]t also is well established that, as a general matter, there is no duty to act to protect others from the conduct of third parties. (*Delgado v. Trax Bar & Grill* (2005) 36 Cal.4th 224, 235.) "A defendant may owe an affirmative duty to protect another from the conduct of third parties if he or she has a 'special relationship' with the other person." (*Ibid*.) This sort of special relationship has been found in cases of business proprietors and their "tenants, patrons, or invitees." (*Id*. at p. 237.) However, Defendant owns a vacant lot and Plaintiff's presence there is not alleged to have been based on any sort of invitation, or tenant or patron type of relationship. Despite Defendant raising this argument in the demurrer (and reply), the opposition is silent on this issue. The *Alcaraz* case cited by Plaintiff involves a tenant and their direct landlord, thus involving the sort of relationship that is not alleged in the Complaint here. (*Alcaraz v. Vece* (1997) 14 Cal.4th 1149, 1152 [it also does not involve third-party criminal conduct].) The *Alpert v. Villa Romano Homeowners Assn*. (2000) 81 Cal.App.4th 1320, case cited by Plaintiff is distinguishable because the harm there was caused directly from the unmaintained sidewalk, not from a third-party criminal.

Based on the above, the Court will SUSTAIN Defendant's demurrer based on the Complaint's failure to properly allege a duty.

<u>Proximate Cause</u>

"The elements of a negligence cause of action are the existence of a legal duty of care, breach of that duty, and ***proximate cause*** resulting in injury." (*McIntyre v. The Colonies-Pacific, LLC* (2014) 228 Cal.App.4th 664, 671, italics and boldface added.) "The elements of a cause of action for premises liability are the same as those for negligence: duty, breach, ***causation***, and damages." (*Castellon v. U.S. Bancorp* (2013) 220 Cal.App.4th 994, 998, italics and boldface added.)
Assuming Plaintiff properly alleged

Here, proximate cause is an element of both negligence and premises liability. Had Plaintiff properly pled duty, and by extension breach of that duty, proximate cause would be presumed under the general pleading standard for these sorts of negligence claims. (See *Bockrath v. Aldrich Chemical Co., Inc*. (1999) 21 Cal.4th 71, 77.)

<u>Ruling on the Demurrer</u>

The Court **SUSTAINS** Defendant's demurrer to the first cause of action for negligence and the second cause of action for premises liability, with leave to amend. Plaintiff may file and serve an amended complaint within 15 days of notice of entry of this order. (Code Civ. Proc. § 472b; CRC, rule 3.1320(g).)

7. 9:00 AM CASE NUMBER: C25-03578
CASE NAME: LUIS CAMPOS VS. WELCOME MARKET, INC.
***MOTION/PETITION TO COMPEL ARBITRATION**
FILED BY: WELCOME MARKET, INC.
****TENTATIVE RULING:****

Before the Court is a motion to compel arbitration and stay of proceedings filed by defendant Welcome Market, Inc.. For the reasons set forth, the motion is **denied**.

Background

Plaintiff Luis Campos alleges he was employed as a non-exempt, hourly employee by defendant Welcome Market, Inc. from September 2023 to June 25, 2025. (Compl. ¶ 3.) Plaintiff filed a class action complaint, alleging violations of the Unfair Competition Law, Business & Professions Code section 17200, *et seq.* ("UCL") and various wage and hour violations under the Labor Code.

Defendant contends Plaintiff signed the Spanish language translated version of the Mutual Agreement to Arbitrate Claims with Welcome Market ("Arbitration Agreement") in 2024. (Moran Decl. ¶ 6 and Exh. A.) Welcome Market moves to compel arbitration of Plaintiff's claims after meeting and conferring with Plaintiff's counsel regarding the arbitration agreement. (Jackson Decl. ¶¶ 2, 3.) Plaintiff opposes the motion.

Procedure and Burden of Proof on Motion to Compel Arbitration

Defendant moves to compel arbitration under the Federal Arbitration Act, 9 U.S.C. section 1, *et seq.* ("FAA") based on provisions of the Arbitration Agreement which state the Arbitration Agreement is "subject to and governed by" the FAA. Whether the Arbitration Agreement is governed by the FAA or the California Arbitration Act, Code of Civil Procedure section 1280 *et seq.* ("CAA"), the threshold issue of whether a valid and enforceable agreement to arbitrate exists is determined under California law, including whether defenses to enforcement of a contract, such as unconscionability, bar the enforcement of the arbitration agreement, as discussed in more detail below. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413; *Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 582.)

The party moving to compel arbitration "bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. [Citation.]" (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.) (*See also Rosenthal, supra,* 14 Cal.4th at 413.) The Court as the trier of fact weighs the evidence in reaching a final determination regarding the validity and enforceability of the arbitration agreement. (*Engalla, supra,* 15 Cal.4th at 972.) Once the existence of an arbitration agreement is established, the burden is on the party opposing arbitration to prove a defense to its enforcement. (*Rosenthal, supra,* 14 Cal.4th at 413; *Alvarez v. Altamed Health Services Corp.* (2021) 60 Cal.App.5th 572, 580.) If a written arbitration agreement exists, it will be enforced unless there are grounds for its revocation. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125; *Alvarez, supra,* 60 Cal.App.5th at 580.)

Existence of An Agreement to Arbitrate

Defendant has submitted undisputed evidence that the Arbitration Agreement was presented to Plaintiff to sign in 2024 and that he was given a Spanish language translation of the Arbitration Agreement. (Moran Decl. ¶¶ 5, 6.) Defendant has submitted evidence that the Spanish transaction of the Arbitration Agreement was signed by Plaintiff in July 2024, then by a representative of the company, and then filed and maintained in Plaintiff's personnel file. (Moran Decl. ¶¶ 5, 6 and Exh. A.) Plaintiff does not contest his execution of the Arbitration Agreement, and Defendant has met its burden of demonstrating the existence of an agreement to arbitrate made by Campos. (*Rosenthal, supra,* 14 Cal.4th at 413; *Alvarez, supra,* 60 Cal.App.5th at 580; *Engalla, supra,* 15 Cal.4th at 972.)

<u>Plaintiff's Unconscionability Defense to Enforcement of the Arbitration Agreement</u>

Plaintiff contends the Arbitration Agreement cannot be enforced because it is unconscionable. The burden of proof of unconscionability is on Plaintiff as the party resisting arbitration. (*Rosenthal, supra,* 14 Cal.4th at 413; *Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.) Both procedural and substantive unconscionability must be proven to render a contract unenforceable, based on a sliding scale such that the greater the procedural unconscionability, the lesser the required showing of substantive unconscionability, and vice versa. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal. 4th 83, 114.) (*See also OTO, supra,* 8 Cal.5th at 125; *Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 910.) "Unconscionability is judged 'at the time [the contract is] made.' [Citations omitted.]" (*Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, 322, fn. 2.)

A. <u>Procedural Unconscionability</u>

Procedural unconscionability involves the components of "oppression" and "surprise." (*OTO, supra,* 8 Cal.5th at 126.) Where the agreement is a contract of adhesion, typically a non-negotiable form contract drafted by the party seeking to compel arbitration, there is some showing of oppression and a degree of procedural unconscionability. (*OTO, supra,* 8 Cal.5th at 126; *Pinnacle, supra,* 55 Cal.4th at 247.) Surprise for purposes of procedural unconscionability occurs " 'where the allegedly unconscionable provision is hidden within a prolix printed form.' [Citation omitted.]" (Pinnacle, supra, 55 Cal.4th at 247.)

Plaintiff argues the Arbitration Agreement is procedurally unconscionable because it is a standard form contract of adhesion, presented for signature without Plaintiff on a take-it-or-leave-it basis and as a condition of Plaintiff's employment, without Plaintiff having the ability to negotiate its terms. The evidence is undisputed that execution of the Arbitration Agreement was required for Plaintiff's employment. (*See* Moran Decl. ¶ 5.) The lack of choice in whether to sign an employment arbitration agreement indicates some degree of oppression and procedural unconscionability. (*Armendariz, supra,* 24 Cal.4th at 115.) (*See also Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 492-493. 494 [contracts of adhesion "remain valid and enforceable <u>unless</u> the resisting party can also show that one or more of the contract's terms is substantively unconscionable or otherwise invalid," and "although adhesion alone generally indicates only <u>a low degree of procedural unconscionability</u>, the potential for overreaching in the employment context warrants close scrutiny of the contract's terms." (Emphasis added.)].)

Plaintiff cites other factors relevant to the oppression aspect of procedural unconscionability, including "(1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party's review of the proposed contract was aided by an attorney. [Citations omitted.]" (*Grand Prospect Partners, L.P. v. Ross Dress for Less, Inc.* (2015) 232 Cal. App. 4th 1332, 1348.) Here, the Arbitration Agreement expressly states the employee has a right to consult with an attorney before signing the document. (Arb. Agmt. ¶ 13.) Moran, a member of the human resources department since 2021, declares that employees are told to read the employment documents carefully, are given as much time as they need to read and sign each document, and are provided a version of the document translated into their native language, in this case Spanish. (Moran Decl. ¶¶ 5, 6.) This evidence is undisputed.

Plaintiff does not argue the Arbitration Agreement was hidden in a form. It is a standalone document and clearly identified as an agreement to arbitrate. Plaintiff argues that the agreement is "legally complex" and difficult to understand without an attorney because it refers to various statutes like the Civil Rights Act of 1964 and the Equal Pay Act. The provisions of paragraphs 1 and 2 of the Arbitration Agreement are unlike those addressed in *OTO*. In *OTO,* the Court characterized the agreement as "a paragon of prolixity, only slightly more than a page long but written in an extremely small font," and agreed with the Court of Appeal's description of the text as " 'visually impenetrable.' " (*OTO, supra*, 8 Cal.5th at 128.) The statutory references in the single-paragraph, densely packed agreement in *OTO* included not merely the descriptive title of the statutes, such as the California Fair Employment and Housing Act and title VII of the Civil Rights Act of 1964, but also parentheticals after the statutes with the specific code sections or public law reference, as well as references to the FAA and CAA "and six different sections of California's Civil Code and Code of Civil Procedure." (*Id.*) Understandably, the Court there concluded that "[a] layperson trying to navigate this block text, printed in tiny font, would not have an easy journey." (*Id.*)

The Court does not find the Arbitration Agreement as a whole or paragraphs 1 and 2 suffer from the problems the Court found in *OTO*. Paragraphs 1 and 2 are not written in the type of legalese present in *OTO*, with detailed legal citations interspersed with text descriptions of statutes. Each of those two paragraphs has a bold face heading informing the employee that one paragraph addresses the claims which are subject to arbitration, and the other addresses claims excluded from arbitration. The provisions of the Arbitration Agreement are not in a single paragraph of block text in minute font, as in *OTO*.

Nevertheless, the Arbitration Agreement is a five-page, single spaced document with 13 numbered paragraphs and additional subparagraphs, some of which are lengthy. The Court finds Plaintiff has shown some degree of procedural unconscionability based on the length and density of the document, the fact the agreement is admittedly a contract of adhesion, and the fact the agreement was made in the employment context where there is inherent economic pressure on an existing employee to agree in order to retain his employment. (*Armendariz, supra,* 24 Cal.4th at 113 [defining contract of adhesion] and 115 ["few employees are in a position to refuse a job because of an arbitration requirement”]; *Alvarez, supra,* 60 Cal.App.5th at 591 [when "arbitration is a condition of employment, there is inherently economic pressure on the employee to accept arbitration," which "alone is a fairly low level of procedural unconscionability."].) The showing of some procedural unconscionability requires scrutiny of the terms of the Arbitration Agreement for substantive unconscionability. (*Hasty, supra,* 98 Cal.App.5th at 1058.)

B. Substantive Unconscionability

In making the unconscionability determination, "The ultimate issue in every case is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement." (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 911-12.) In general, the arbitration agreement must be so overly harsh, unduly oppressive, and unreasonably favorable to the more powerful party that they undermine the neutrality of the agreement to arbitrate in order to be found substantively unconscionable. (*Sanchez, supra,* 61 Cal.4th at 910-911, 913; *Armendariz, supra,* 24 Cal.4th at 117.) Something more than an employee making a bad bargain is required. (*Pinnacle, supra,* 55 Cal.4th at 246 ["A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be 'so one-sided as to ‘shock the conscience.' "].)

1. Unconscionability Based on Scope of Claims and Duration

The Arbitration Agreement defines the "Company" as "Tawa Supermarket, Inc., Tawa Inc. (Retail), Tawa Retail Group, Inc., Tawa Services, Inc., Welcome Market, Inc., Welcome Services, Inc. and/or any of its related entities, parent companies, subsidiaries, divisions, officers, shareholders, directors, employees, agents, predecessors, successors, and assigns." (Arb. Agmt. introductory paragraph.) The Arbitration Agreement states the parties recognize "differences may arise between me and [the Company] during or following my employment." (Arb. Agmt. introductory paragraph [emphasis added].) The Arbitration Agreement then states that "the Company and I mutually consent to the resolution by arbitration of all claims or causes of action, except as provided in Paragraph 2 below, that the Company may have against me or that I may have against the Company." (Arb. Agmt. ¶ 1 [emphasis added].) Paragraph 1 of the agreement lists a number of types of claims that are subject to arbitration, including breach of contract and tort claims and "claims for violation of any federal, state, or other law, statute, regulation, or ordinance," as examples but without limitation. Paragraph 9 provides the agreement to arbitrate "shall survive the termination of my employment," and that the Arbitration Agreement "can only be revoked or modified by a writing signed by both parties." (Arb. Agmt. ¶ 9.)

Plaintiff contends the scope of claims subject to arbitration under the agreement, and the unlimited duration of the agreement unless and until "both parties" revoke or modify it, make the Arbitration Agreement unconscionable under the decision *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312. Unlike in *Cook*, the language of the Arbitration Agreement at least on its face makes the claims subject to arbitration mutual. (*Compare to Cook, supra,* 102 Cal.App.5th at 317 [where employee and University agreed to "the resolution by arbitration of all claims, whether or not arising out of Employee‘s University employment, remuneration or termination, that Employee may have against the University or any of its related entities, including but not limited to faculty practice plans, or its or their officers, trustees, administrators, employees or agents, in their capacity as such or otherwise; and all claims that the University may have against Employee"].) However, the scope of the claims covered by the Arbitration Agreement are unlimited and untethered to claims arising out of or related to Plaintiff's employment, just as the scope of claims in the agreement in *Cook* that the Court held was substantively unconscionable. (*Id.* at 321-325.)

The Court in *Cook* also found the virtually unlimited duration of the term of the Arbitration Agreement rendered the agreement unconscionable in that case. (*Id.* at 325-326.) Similar to the agreement in *Cook*, the Arbitration Agreement survives the termination of Plaintiff's employment and "can only be revoked or modified by a writing signed by both parties." (Arb. Agmt. ¶ 9.) The Court in Cook upheld the trial court's conclusion that the extended duration of the agreement with similar provisions was substantively unconscionable. (*Id.* at 326 ["We reject the argument that the arbitration agreement is terminable at will after a reasonable time and find the trial court did not err in holding the duration of the arbitration agreement is substantively unconscionable."].)

Citing *Ayala-Ventura v. Superior Court* (2026) 119 Cal.App.5th 241, Defendant argues that the Court should interpret the Arbitration Agreement as only applicable to employment-related claims. In that case, however, the language of the agreement describing the claims subject to arbitration was different; it covered all claims " 'whether or not arising out of [Ayala-Ventura]'s employment or the termination of employment,' " which the company argued meant "if a claim arises out of employment but does not involve termination of employment, it is still covered and vice versa" and that the language was not overbroad because, in light of this language, the agreement's "intended scope is employment-related claims." (*Id.* at 255.) Concluding the agreement language was ambiguous, the Court applied the rule of contract interpretation requiring the Court to construe an ambiguous agreement in a manner that would make it lawful and operative. (*Id.* at 256.)

Defendant, however, does not direct the Court to <u>any language</u> in the Arbitration Agreement in this case that makes the broad sweeping language in any way ambiguous so as to be construed as only applying to employment-related claims. Defendant merely argues that the Arbitration Agreement "is susceptible to the interpretation that it is limited to claims involving the employment relationship" without citing to any provision of agreement that supports the argument. The survival provision several paragraphs subsequent to paragraph 1 cannot reasonably support such a limitation or construction in the face of the clear, unambiguous, and sweeping scope of claims in paragraph 1 of the Arbitration Agreement. (Arb. Agmt. ¶ 9.) Nothing in the introductory paragraph includes any limiting language; to the contrary, it again provides that "both the <u>Company</u> and I are agreeing to resolve <u>any differences between us</u> through the arbitration procedures explained below." (Arb. Agmt. introductory paragraph [emphasis added].) *Ayala-Ventura* is therefore distinguishable. *Cook* governs the Court's interpretation of the Arbitration Agreement in this case.

The sweeping language of the agreement if enforced clearly attempts to compel Plaintiff to arbitrate claims against not only Welcome Market but any individuals associated with that entity no matter when or under what circumstances the claims arise. A tort claim for defamation or a car accident years after termination of Plaintiff's employment that happens to involve an officer, director, employee or "agent" of Welcome Market is within the scope of the Arbitration Agreement based on its broad language. Under the authority of the *Cook* decision, the Arbitration Agreement is substantively unconscionable in two respects, specifically based on the overly broad scope of claims covered and based on the duration of the agreement. (*Cook, supra,* 102 Cal.App.5th at 321-326.)

2. <u>Blanket PAGA Waiver</u>

Plaintiff contends the "Class Action Waiver" in the Arbitration Agreement is also substantively unconscionable, as it includes a blanket waiver of Plaintiff's right to bring a PAGA claim which remains unenforceable as against public policy even after the U.S. Supreme Court's decision in *Viking River*. (*Alberto v. Cambrian Homecare* (2023) 91 Cal. App. 5th 482, 495 ["Both before and after *Viking River Cruises*, blanket waivers of PAGA claims are unconscionable."]; *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal. 5th 1104, 1117 ["In *Iskanian*, we held that a predispute categorical waiver of the right to bring a PAGA action is unenforceable [citation omitted]—a rule that *Viking River* left undisturbed [citation omitted]."].) (*See also Viking River Cruises, Inc. v. Moriano* (2022) 596 U.S. 639, 646, 662-663 ["We hold that the FAA preempts the rule of *Iskanian* insofar as it precludes division of PAGA actions into individual and non-individual claims through an agreement to arbitrate," but the rule of *Iskanian* that a wholesale waiver of PAGA claims is invalid is not preempted].)

Paragraph 5 of the Arbitration Agreement addresses class, collective and representative claims and defines its provisions as the "Class Action Waiver."

> **Waiver of Right to Class, Representative and Collective Actions**. I understand that, by signing this Agreement, both the Company and I are <u>giving up any right we may have to participate in a class, representative or collective action or proceeding</u>, to the fullest extent permitted by applicable law (“Class Action Waiver”). Accordingly, the Company and <u>I may only bring claims against each other in our individual capacities</u>, and neither of us may bring claims against the other <u>as a plaintiff or a member in any purported class, representative or collective action or proceeding, including any private attorney general action</u>, to the fullest extent permitted by law. . . . Notwithstanding any other provision of this Agreement or the applicable arbitration rules, disputes regarding the validity, enforceability or breach of this Class Action Waiver may only be resolved by a civil court of competent jurisdiction and not by an arbitrator. In any case in which (i) the dispute is filed as a class, collective, representative or private attorney general action and (ii) a civil court of competent jurisdiction finds all or part of the Class Action Waiver unenforceable, the class, collective, representative and/or private attorney general action to that extent must be litigated in a civil court of competent jurisdiction but must be stayed pending completion of arbitration for all arbitrable claims, and the portion of the Class Action Waiver that is enforceable shall be enforced. . . . I understand that I will not be retaliated against, disciplined or threatened with discipline as a result of my exercising my rights under Section 7 of the National Labor Relations Act by the filing of <u>or participation in a class, collective or representative action in any forum</u>. However, the Company may lawfully seek enforcement of this Agreement and the Class Action Waiver under the Federal Arbitration Act and seek dismissal of such class, collective or representative actions or claims. <u>The Class Action Waiver shall be severable in any case in which the dispute is filed as an individual action and severance is necessary to ensure that the individual action</u>

proceeds in arbitration.

(Arb. Agmt. ¶ 5 [emphasis added].)

In *Hasty v. American Automobile Assn. etc.* (2023) 98 Cal.App.5th 1041, the Court stated the arbitration agreement requires "the parties to bring their claims 'in an individual capacity', not 'in a private attorney general capacity,' and prohibits class, representative, or private attorney general proceedings." (*Id.* at 1062.) The Court found the provision was one-sided and "can fairly be read to limit only the employee's rights. [Citation omitted.]" (*Id*. at 1062-1063.) "The requirement that an employee's claims be brought solely in an individual capacity and not 'in a private attorney general capacity' precludes the employee from brining a claim under the [Private Attorney General] Act in arbitration or in court." (*Id.* at 1063.) The language of the Arbitration Agreement quoted above notably waives the employee's right "to participate in" any representative action and to bring claims "as a plaintiff or a member in any . . . representative action or proceeding, including any private attorney general action, and mandates the employee to bring claims in his "individual" capacity. (Arb. Agmt. ¶ 5.) Under *Hasty*, these provisions in the Arbitration Agreement operate as a blanket waiver by the employee of the right to bring a PAGA action in any forum and as a one-sided provision limiting only the employee's rights. (*Hasty, supra*, 98 Cal.App.5th at 1062-1063.)

Plaintiff anticipated that Welcome Market would argue that the "Class Action Waiver" in this case is not a blanket waiver because it is qualified by the phrase "to the fullest extent permitted by law." (Arb. Agmt. ¶ 4.) Plaintiff argues the addition of that phrase is insufficient to convert the blanket waiver to one that is enforceable, citing *Hasty v. American Automobile Assn. etc.* (2023) 98 Cal.App.5th 1041, 1061-1062. In *Hasty,* the Court rejected the defendant's contention that a confidentiality provision was not unconscionable because "the agreement 'limits the scope of the confidentiality clause to the "extent permitted by law," ' "explaining "[t]he fact that the provision applies to only the 'extent permitted by law' does not save it because the employee would have no way of knowing what would be covered or not covered by this provision." (*Id.* at 1062.)

The "Class Action Waiver" in this case is framed in broader terms than merely an agreement by Plaintiff not to bring a class or representative action, including specifically a private attorney general act action. The waiver precludes Plaintiff from participating as a member in a class or representative action. The provision clearly requires Plaintiff to waive his right to assert or be involved in any PAGA claims, not only by bringing the claim himself but by being a member represented in a PAGA action brought by another employee or the Labor Workforce Development Agency. Applicable law does not permit such a blanket waiver. Such a blanket waiver was clearly invalid under applicable law when Defendant revised the Arbitration Agreement and presented it for signature to Plaintiff in July 2024, roughly two years after *Viking* River was decided and after multiple decisions published in 2023 continued to reaffirm the bar on blanket waivers of PAGA claims. (Moran Decl. ¶ 6; *Alberto, supra,* 91 Cal. App. 5th at 495; *DeMarinis, supra,* 98 Cal.App.5th at 787.) It is not clear that the employee would know the extent to which the PAGA waiver provision is not permitted by law. The Court agrees under the rationale of *Hasty* that adding "to the fullest extent permitted by law" does not make a clearly unconscionable blanket PAGA waiver which is unenforceable as against public policy conscionable, particularly given the timing of the creation and execution of the Arbitration Agreement in this case.

Notably, the reply does not address these arguments or these authorities. The Court finds the blanket

PAGA waiver is unenforceable and substantively unconscionable.

3. Reply Argument Regarding Plaintiff's "PAGA Claim"

Defendant makes several arguments regarding Plaintiff's "PAGA claim." Defendant argues that the opposition rests on the Court allowing Plaintiff to " 'dismiss' his individual PAGA claim," and that Plaintiff cannot "disavow his individual PAGA claim." (Reply pp. 5-7.) The Court has reviewed the operative complaint filed December 3, 2025. There is no PAGA claim alleged in the complaint.

4. Reply Argument Regarding Delegation Clause

Defendant for the first time in its reply argues that the arbitrator should decide disputes regarding the enforceability and interpretation of the Arbitration Agreement. Defendant did not make that argument in its moving papers and assert that a "clear and unmistakable" delegation claim exists in the Arbitration Agreement that precludes the Court from addressing issues of enforcement or interpretation. Defendant only quoted the delegation provision in passing in the "Factual Background" section of the moving memorandum and without any citation to legal authority for the standards for enforcement of such a clause.

Parties may agree to have the arbitrator rather than a court determine the "gateway" issues of arbitrability. (*Aanderud v. Superior Court* (2017) 13 Cal.App.5th 880, 891.) The first requirement for enforcement of a delegation clause is that the delegation clause be "clear and unmistakable." (*Id.* at 891-892.) "[T]he usual presumption is that a court, and not an arbitrator, decides the threshold issues of arbitrability such as whether the arbitration agreement itself is valid and enforceable. [Citation omitted.] [¶] . . . [G]iven the contrary presumption, evidence that the parties intended such a delegation must be 'clear and unmistakable' before a court will enforce a delegation provision. [Citations omitted.] 'This is a "heightened standard," higher than the evidentiary standard applicable to other matters of interpreting an arbitration agreement.' [Citation omitted.]" (*Jack v. Ring LLC* (2023) 91 Cal.App.5th 1186, 1197 [citing among other decisions *Ajamian v. CantorCO2e, L.P.* (2012) 203 Cal.App.4th 771, 781, 790].)

Defendant argues there is a clear and unmistakable delegation clause in the Arbitration Agreement in paragraph 7(c) and that incorporation of the JAMS Rules governing the arbitration make the delegation clause clear and unmistakable. Defendant, however, has not offered any evidence of the JAMS Rules and their content to support this argument. (*Compare to Jack v. Ring, LLC, supra,* 91 Cal.App.5th at 1201.)

Defendant's argument also ignores the contrary provision of paragraph 4 of the Arbitration Agreement quoted above, which expressly carves out from the arbitrator's authority any determination of the validity or enforceability of the Class Action Waiver provisions, such that those disputes "may only be resolved by a civil court of competent jurisdiction and not by an arbitrator." (Arg. Agmt. ¶ 4.)

Defendant impermissibly raised and argued the effect of the delegation clause in its reply for the first time, denying Plaintiff the opportunity to dispute its applicability and enforceability. The Court declines to address this argument raised for the first time in reply. (*Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537-1538 [" '[p]oints raised for the first time in a reply brief will ordinarily not be considered, because such consideration would deprive the respondent of an opportunity to counter the argument.' [Citations omitted.]"].)

Further, the Court concludes based on the *Jack v. Ring, LLC* decision that the delegation clause is not clear and unmistakable in light of the provisions of paragraph 4 that provide for the Court to decide the validity or enforceability of the Class Action Waiver, which as defined includes the waiver of representative claims including PAGA claims. The provision in paragraph 4 operates in a manner similar to that in the *Jack v. Ring, LLC* decision, in which the Court found the delegation clause was not clear and unmistakable, stating " 'As a general matter, where one contractual provision indicates that the enforceability of an arbitration provision is to be decided by the arbitrator, but another provision indicates that [a] court might also find provisions in the contract unenforceable, there is no clear and unmistakable delegation of authority to the arbitrator.' [Citation omitted.] 'Even broad arbitration clauses that expressly delegate the enforceability decision to arbitrators may not meet the clear and unmistakable test, where other language in the agreement creates an uncertainty in that regard.' [Citation omitted.]" (*Jack v. Ring, LLC, supra,* 91 Cal.App.5th at 1197.)

C. Severability Analysis

The Arbitration Agreement has a severability provision:

> If any provision of this Agreement is found to be unenforceable, in whole or in part, such finding shall not affect the validity of the remainder of this Agreement <u>and this Agreement shall be reformed to the greatest extent possible to ensure that the resolution of all conflicts between the parties are resolved by neutral, binding arbitration</u>. Any finding that this Agreement is unenforceable, in whole or in part, shall have no effect on the enforceability of any other agreement between me and the Company. This Agreement is to be construed as broadly as is permissible under applicable law.

(Arb. Agmt. ¶ 10 [emphasis added].)

The Court is aware of the strong preference for enforcing an arbitration agreement, but that preference gives way when an arbitration agreement is permeated by unconscionability. (*Alberto, supra,* 91 Cal.App.5th at 495.) The California Supreme Court recently provided additional guidance for a trial court's decision regarding severance of unconscionable or unenforceable provisions of an arbitration agreement in *Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478. The Court clarified that (a) "no bright-line rule *requires* a court to refuse enforcement if a contract has more than one unconscionable term," (b) a court is not *required* to sever or restrict an unconscionable term if an agreement has only a single such term, (c) "the appropriate inquiry is qualitative" and considers whether the court can cure the unconscionability by "severance or restriction" or whether augmentation or reformation is required, and (d) "[e]ven if a contract *can* be cured," the court should consider "whether the unconscionability *should* be cured through severance or restriction because the interests of justice would be furthered by such actions. [Citations omitted.]" (*Id.* at 516 [italics in original].) The Court considers whether as to the unconscionable provisions, the "illegality is collateral to the contract's main purpose." (*Id.* at 517.)

The Court considers "the deterrent effect of each option" and should not enforce the arbitration agreement if severance and enforcement "would function to condone an illegal scheme and whether defects in the agreement indicate the stronger party engaged in a systematic effort to impose arbitration on the weaker party not simply as an alternative to litigation, but to secure a forum that works to the stronger party's advantage. [Citation omitted.]" (*Id*. at 516-517.) "Severance may be properly denied when the agreement contains more than one unconscionable provision, and ' "there is no single provision a court can strike or restrict in order to remove the unconscionable taint from the agreement." [Citation.]' [Citations omitted.]" (*Cook, supra,* 102 Cal.App.5th at 329.)

The Court finds severance of the unconscionable terms is not appropriate in this case in part because unconscionability permeates the Arbitration Agreement. The two unconscionable provisions go to the heart of the agreement to arbitrate by creating a sweeping and virtually unlimited in time or scope agreement by the Plaintiff to arbitrate any claim he may have against anyone affiliated with Welcome Market as an "agent," employee, shareholder, officer, or director and by compelling Plaintiff to waive bringing or even participating in a PAGA action as a member of a class of aggrieved, represented employees. These provisions are central to the Arbitration Agreement, such that the unconscionability of those provisions is also central to the agreement.

It is also not clear to the Court how severance could be effectuated to extirpate the unconscionable aspects of the agreement without reforming the language of the agreement by adding terms such as ", in light of the broad definition of Company which is a term used throughout the remainder of the agreement, the absence of language that limits the duration of the agreement's application and scope of claims against Welcome Market that would be compelled to arbitration even if the definition of "Company" were limited to Welcome Market itself, and the manner in which the Class Action Waiver paragraph is drafted. The Court finds the interests of justice do not support severance but warrant denial of enforcement of the Arbitration Agreement for unconscionability. (*Ramirez, supra,* 16 Cal.5th at 516-517.)

8. 9:00 AM CASE NUMBER: C25-03586
CASE NAME: ED PENNING VS. FAIRWAY INDEPENDENT MORTGAGE CORPORATION
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: FAIRWAY INDEPENDENT MORTGAGE CORPORATION
TENTATIVE RULING:*

On the Court's own motion, the hearing on this matter is continued until July 8, 2026. No appearance is required on July 1, 2026.

9. 9:00 AM CASE NUMBER: MS5031
CASE NAME: PETITION OF: PARAQUAT CASES
***HEARING ON MOTION IN RE: APPLICATION/MOTION TO APPEAR AS COUNSEL PRO HAC VICE**
FILED RE: KRISTINA F. MOORE
FILED BY: CHEVRON U.S.A. INC
TENTATIVE RULING:*
Summary

This Tentative Ruling applies to Lines 9, 10, 11 and 12. Defendants Chevron U.S.A Inc's, Syngenta AG, et. al, and Plaintiffs Collen Clasen and William DeHaven, et. al. have filed Motions and Verified Applications of four attorneys ("Applicants") for *Pro Hac Vi*ce Admission. These motions are unopposed and are **granted**.